

Suzhou TFC Optical Communication 300394.SZ 300394

CH

EQUITY: NETWORKING

2Q26: revenue miss while earnings beat on higher GPM

Quick Note

TFC reported 1H26 results with revenue/earnings of CNY2.83bn/CNY1.20bn, +15.2%/+33.9% y-y, respectively, driven by demand from both active components (800G/1.6T optical engines) and passive components (i.e., FAU or fiber array units), in our view. The 1H26 revenue translates into a 0.9% y-y revenue decline (+13% q-q) and 26.8% y-y (+45% q-q) earnings growth for 2Q26. 2Q26 top-line missed our estimate by 19.6% due to continued supply constraints for EML chips, in our view, while the bottom line beat our estimate by 16.8%, led by a strong increase in GPM, which rose 10.1pp y-y to 60.9% in 1H26, or +15.3pp y-y to 64.7% (+8.1pp q-q) in 2Q26, which can be attributed to more contribution from the high-margin passive components. Segment-wise, passive components delivered a strong revenue uptick (+77.4% y-y) and GPM expansion (+8.33pp y-y to 71.9%) in 1H26, while the active components sector recorded a 19.6% y-y revenue decline in 1H26. Therefore, the company delivered a NPM of 42.6% (+6.0pp y-y) in 1H26 and 47.5% (+10.4pp y-y and +10.5pp q-q) in 2Q26.

Well-positioned to benefit from key AI customer's CPO shipments

In 1H26, both passive and active optical devices at the Thailand production base were steadily ramping up, and the second phase of the Jiangxi production base has been put into use, according to the company, which may help to relieve the pressure on shipments growth. On 14 August, NVIDIA (NVDA US, Not rated) announced that its Spectrum-X CPO switch has entered full mass production (*news*). As NVIDIA's CPO supply chain partner, we believe TFC is well positioned to benefit from NVIDIA's CPO deployment, leading to rising demand for key components, such as high-end FAUs and ELS (external laser) modules. We maintain our Buy rating and TP of CNY282, based on 50x FY27F EPS of CNY5.63, in line with the China A-share CPO sector median P/E. The stock currently trades at 49x FY27F EPS.

Rating Remains **Buy**

Target price Remains **CNY 282.00**

Closing price 19 August 2026 **CNY 277.40**

Research Analysts

China Technology

Bing Duan - NIHK

bing.duan1@nomura.com

+852 2252 2141

Ethan Zhang - NIHK

ethan.zhang@nomura.com

+852 2252 2157

Fig. 1: TFC - 1H26 and 2Q26 results review

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q	1H23	2H23	1H24	2H24	1H25	2H25	1H26	y-y	h-h
	A	A	A	A	A	A	A	A	A	A			A	A	A	A	A	A	A		
Turnover	732	824	839	857	945	1,511	1,463	1,245	1,330	1,498	-1%	13%	664	1,274	1,556	1,696	2,456	2,708	2,828	15%	4%
% chg yoy	155%	119%	55%	17%	29%	83%	74%	45%	41%	-1%			15%	106%	134%	33%	58%	60%	15%		
COGS	(325)	(332)	(344)	(391)	(444)	(765)	(677)	(491)	(577)	(529)			(326)	(560)	(657)	(734)	(1,209)	(1,169)	(1,107)		
Gross Profit	406	493	495	466	501	746	785	754	753	968			338	714	899	962	1,247	1,539	1,721		
OPEX	(82)	(73)	(123)	(47)	(106)	(109)	(127)	(92)	(176)	(165)			(71)	(120)	(155)	(170)	(216)	(219)	(341)		
Operating Income	324	420	372	420	395	637	659	662	577	803	26%	39%	267	595	744	792	1,032	1,320	1,381	34%	5%
% chg yoy	198%	164%	58%	17%	22%	52%	77%	58%	46%	26%			32%	140%	178%	33%	39%	67%	34%		
Pretax income	324	420	373	419	395	639	658	651	574	803	26%	40%	267	573	743	792	1,034	1,310	1,377	33%	5%
% chg yoy	199%	164%	59%	24%	22%	52%	77%	55%	45%	26%			31%	133%	178%	38%	39%	65%	33%		
Tax	(44)	(44)	(50)	(54)	(57)	(77)	(92)	(99)	(82)	(91)			(31)	(80)	(88)	(104)	(135)	(192)	(173)		
Profit to shareholders	279	375	322	367	338	562	566	552	492	712	27%	45%	236	494	654	689	899	1,118	1,204	34%	8%
% chg yoy	203%	161%	59%	26%	21%	50%	76%	50%	46%	27%			36%	115%	177%	40%	37%	62%	34%		
Ratio Analysis																					
GPM	55.5%	59.8%	59.0%	54.4%	53.0%	49.4%	53.7%	60.6%	56.6%	64.7%	15.3pp	8.1pp	51.0%	56.0%	57.8%	56.7%	50.8%	56.8%	60.9%	10.1pp	4.0pp
OPEX	11.3%	8.8%	14.6%	5.5%	11.3%	7.2%	8.7%	7.4%	13.2%	11.0%	3.8pp	-2.2pp	10.7%	9.4%	10.0%	10.0%	8.8%	8.1%	12.1%	3.3pp	4.0pp
OPM	44.2%	50.9%	44.4%	49.0%	41.8%	42.1%	45.0%	53.2%	43.4%	53.6%	11.5pp	10.3pp	40.3%	46.7%	47.8%	46.7%	42.0%	48.8%	48.8%	6.8pp	0.1pp
NPM	38.1%	45.5%	38.4%	42.8%	35.7%	37.2%	38.7%	44.3%	37.0%	47.5%	10.4pp	10.5pp	35.5%	38.8%	42.0%	40.7%	36.6%	41.3%	42.6%	6.0pp	1.3pp

Source: Company data, Nomura research

Appendix A-1

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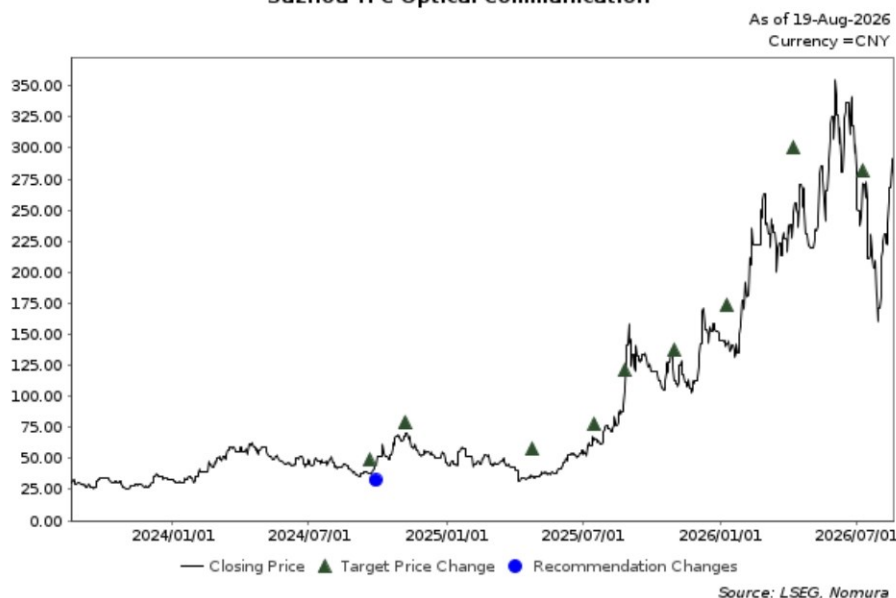
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Suzhou TFC Optical Communication	300394 CH	CNY 277.40	19-Aug-2026	Buy	N/A	

Suzhou TFC Optical Communication (300394 CH)

CNY 277.40 (19-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Suzhou TFC Optical Communication



Source: LSEG, Nomura

Date	Rating	Target price	Closing price
09-Jul-26		282.00	271.50
08-Apr-26		300.51	240.72
09-Jan-26		173.87	142.14
31-Oct-25		137.38	112.86
26-Aug-25		120.92	103.41
17-Jul-25		77.99	66.27
25-Apr-25		58.07	35.84
06-Nov-24		79.66	67.61
20-Sep-24	Buy		37.45
20-Sep-24		48.82	37.45

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY282.00 is based on 50x 2026F EPS of CNY5.63, in line with WIND China A share CPO sector median P/E. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical component/module market; (2) technology changes in optical communication market which dampens company's competitiveness; (3) top customer's change of strategy or supply chain diversification; and (4) geopolitical risks.

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